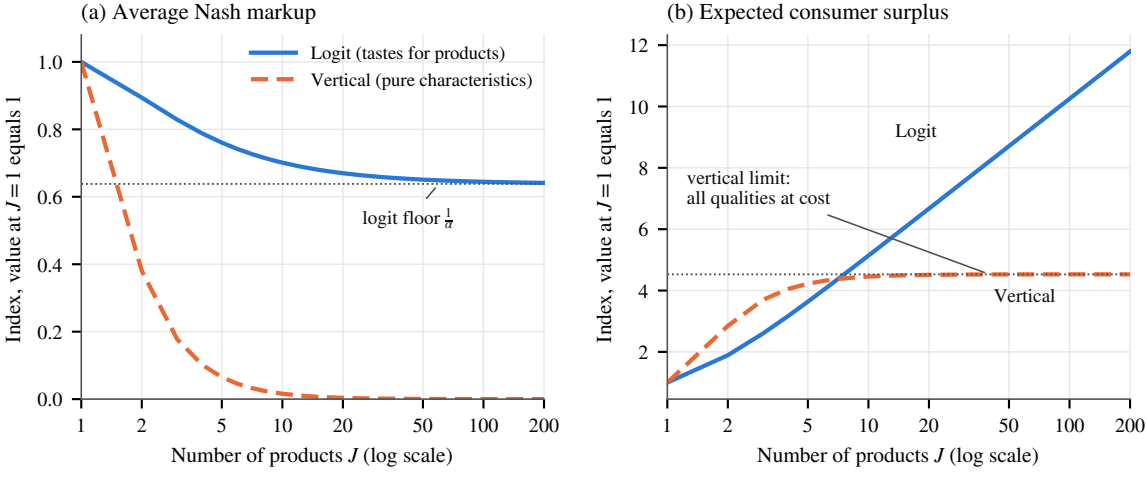
(a) Average Nash markup
Logit (tastes for products)
Vertical (pure characteristics)
logit floor $\frac{1}{\alpha}$
Index, value at $J = 1$ equals 1
1.0
0.8
0.6
0.4
0.2
0.0
1
2
5
10
20
50
100
200
Number of products J (log scale)
(b) Expected consumer surplus
Logit
vertical limit:
all qualities at cost
Vertical
Index, value at $J = 1$ equals 1
12
10
8
6
4
2
1
2
5
10
20
50
100
200
Number of products J (log scale)